"TESCOM's 15-acre drone park will house India's entire drone ecosystem"

V. BALASUBRAMANI
Founder & MD, TESCOM

B. NANDINI
Director, TESCOM

SUHAS TEJASKANDA
Founder, Flying Wedge

Electronics contract manufacturer TESCOM aims to be "the drone manufacturer of India." In a candid conversation with EFY, TESCOM's V. Balasubramani (Founder and MD) and B. Nandini (Director) and Flying Wedge's Founder Suhas Tejaskanda revealed the company's aspirational plans and investments to surpass Chinese prices and lead a drone manufacturing ecosystem in India.

Q. What types of electronic products does TESCOM manufacture, and who are your primary customer segments?

TESCOM has been in the electronics manufacturing service business for over 35 years. We've served as a contract manufacturer for diverse OEMs in automotive, IoT, medical electronics, industrial automation, defence, aerospace, and consumer electronics. Operating from three units in Bangalore and equipped with high-speed SMT lines in Coimbatore and Hosur, TESCOM stands out as the first Indian company for large-scale IoT module production. Renowned for our capabilities in handling 03015 package components, our equipment ensures optimal yields, which is our USP.

Q. What are your thoughts about the potential for growth for Drones in India?

The Indian Government views the drone sector as a major growth area, projecting a value of 295,000 crores by 2030, as per the EY FICCI report. Even with 50% indigenisation, this translates to a substantial 1,47,500 crores in Indian manufacturing. The rise of the drone industry will trigger manufacturing benefits across subcomponents such as motors, payloads, communication modules, batteries, propellers, assembly, navigation systems, and airframes. This, according to the report, will foster indigenisation in allied industries, aligning with the "Make in India" initiative and contributing significantly to India's economy.

Q. What key capabilities are you building to cater to the unique requirements of the drone market?

TESCOM has proposed a 15-acre drone park that will house the entire drone ecosystem. We will follow the model where this ecosystem will supply to all in the drone market. We plan to have machining players, motor manufacturers, carbon fibre sheet processing, flight controller manufacturing, battery packs, and the other necessary sub-assemblies to meet the end-to-end needs of the drone industry. TESCOM's pricing will beat international competition with the expected volume and growth.

Drone testing needs a minimum of 5 acres of open land, a lab setup, and a classroom to train pilots, as per the DGCA guidelines, and we already possess this. We also plan to develop a Remote Pilot Training Organization to train drone pilots. This will complete the ecosystem and generate employment in rural areas. Customisation of drone manufacturing for different customers will be the highlight of this ecosystem.

Q. How do you manage the drone supply chain, including sourcing components and dealing with potential shortages?

Initially reliant on Chinese suppliers, we faced concerns with motor shortages. We've shifted to indigenous suppliers, validated their strengths, and aimed to expand this network. Collaborating with startups, we focus on R&D in battery manufacturing. The Electronics City Industries Cluster provides mechanical parts and we are working to increase their output. TESCOM and Flying Wedge aim for over 90% indigenisation of drone derivatives, with plans to manufacture all components except lithium core sourcing and ICs. Government schemes for MSMEs and large companies in the drone segment align with our goals. Initiatives to make parts in-house are underway, with a strategy to scale up current efforts.

Q. Are there any challenges you've encountered in this process? How did you overcome them?

We currently face challenges in sourcing lithium core and semiconductors, which are still being imported. We are sure that with India's semiconductor policy, we will soon become self-sufficient with ICs. Since we depend on a few other countries for lithium core availability, we are working with our partners to identify other solutions apart from lithium. Though this is in a very nascent stage, we are sure of achieving this as well.

Q. What motivated you to partner with Flying Wedge?

The product quality, aligned and shared vision of both the companies, values between both the companies, knowledge, skill, and expertise of the Flying Wedge team are very refreshing and worthy to emulate. The cultural fit between our companies has been good, and we value each other and the strategic partnership. TESCOM and Flying Wedge are always ready for continuous improvement, which has been our driving force. We were quick to understand and concrete our partnership to be prepared to meet the global boom.

Q. What is the USP of Flying Wedge's drones as compared to its competitors?

Flying Wedge is India's first DGCA